

overcome natural instincts and our habits to successfully equip our riders with skills to point their elephants in the right direction?

If we relate this back to our finances, the elephant represents those mindless financial habits we've adopted and do without even thinking. A simple example might be that we automatically tap and pay by credit card when we buy any sort of good or service. It doesn't even occur to us to use cash or our debit card. It's an automatic, instinctual action and we don't think about it when we do it. While the rider represents our more planned financial activities. This might involve setting weekly time aside to look at your finances, being deliberate around goal setting, planning meals and writing shopping lists, setting up your bank accounts in a way that works with your spending and saving inclinations and more. It's a slower-thinking, learned and more strategic set of financial actions than the ones the elephant completes. Finally, the elephant has favourite financial paths it likes to walk down—preferred routes, tried and true pathways that it feels comfortable travelling down. These might be financial rules of thumbs such as spending and savings rule we looked at back in the introduction: spending 50 per cent needs, 20 per cent savings and 30 per cent wants. Or the widely accepted Money Story in Australia that everyone should own their own home, or, around budgeting, how much credit is acceptable to have, and more.

Once we understand the relationship between the elephant, the rider and the pathway we can start to question our own financial decision-making mechanisms, our own automatic responses and the financial paths we naturally walk down to determine if they're really suited to us. There are three main questions we want to answer then when it comes to our finances:

- 1. What are the fast-thinking and natural instincts and habits that relate to my finances?**
- 2. Which of these habits and instincts do I need to overcome, and which do I need to lean into? Which of these are serving me and which are sabotaging me?**